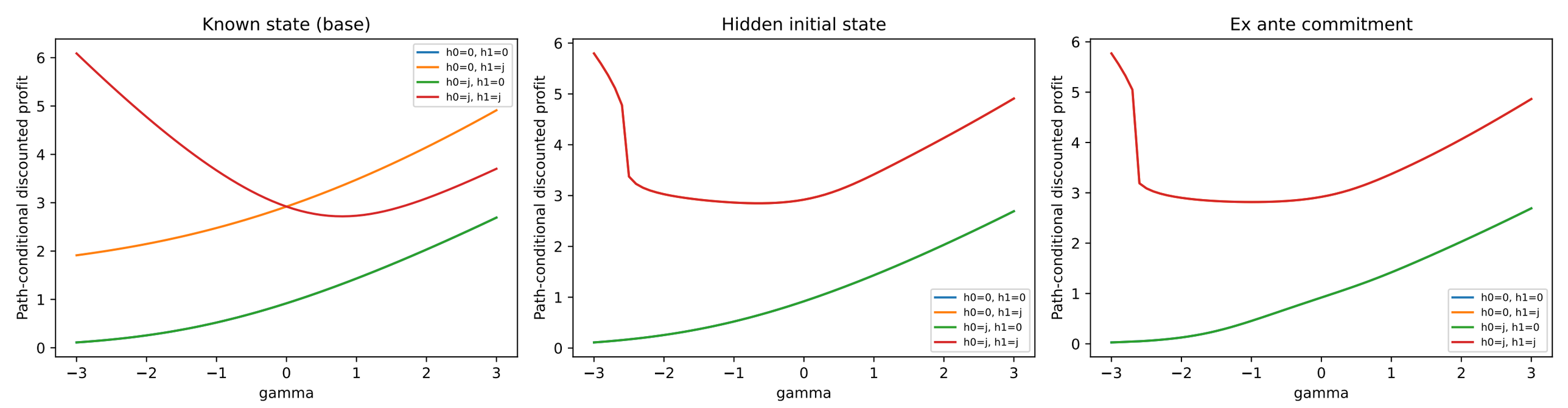
Known state (base)
Hidden initial state
Ex ante commitment
Path-conditional discounted profit
gamma
h0=0, h1=0
h0=0, h1=j
h0=j, h1=0
h0=j, h1=j
0
1
2
3
4
5
6
−3
−2
−1
0
1
2
3